Trepp® CMBS Research

SEP 2026

TREPP CMBS SPECIAL SERVICING REPORT

Overall CMBS Special Servicing Rate Rose Seven Basis Points to 11.49%

The Trepp commercial mortgage-backed securities (CMBS) special servicing rate rose seven basis points to 11.49% in September, the highest since February 2013.

The overall rate is now up 84 basis points from a year ago and up 49 basis points from six months ago.

By property type, retail rose 24 basis points to 13.84%, lodging rose 21 basis points to 8.95%, and multifamily rose 17 basis points to 8.54%, while mixed-use fell 30 basis points to 13.17%, office fell five basis points to 16.85%, and industrial fell 4 basis points to 1.23%. Transfers were concentrated in office, which accounted for 57% of the $2.65 billion that moved to special servicing.

Transfers to special servicing totaled $2.65 billion across 42 whole loans, down 13% from $3.04 billion across 29 loans in August. Loans that left special servicing totaled $1.95 billion across 48 whole loans, up 237% from $579.7 million across 32 loans in August; 18 of them, $1.00 billion, returned to the master servicer and the other 30, $953.5 million, no longer carry a balance (paid off or liquidated). The largest transfer alone, the $512.8 million One SoHo Square, is worth about 8.5 basis points of the overall rate.

The CMBS 2.0+ rate was 11.42% (up seven basis points on the month) and the CMBS 1.0 rate was 61.89% (down seven basis points); only $500.0 million of the balance in special servicing is CMBS 1.0.

TABLE 1: SPECIAL SERVICING RATE BY PROPERTY TYPE (ALL VINTAGES %)

PROP TYPE	Sep-26	Aug-26	Jul-26	3 MO.	6 MO.	12 MO.
Overall	**11.49**	**11.42**	**11.09**	**11.20**	**11.00**	**10.65**
Industrial	1.23	1.27	1.34	1.37	1.03	0.65
Lodging	8.95	8.74	8.63	8.89	9.58	9.91
Multifamily	8.54	8.37	8.39	8.23	8.75	8.20
Office	16.85	16.90	16.58	17.11	16.73	16.91
Mixed-Use	13.17	13.47	11.93	11.90	12.19	11.95
Retail	13.84	13.60	13.28	12.95	12.99	11.94

Source: Trepp

NEW TRANSFERS

The largest loan transferred to special servicing in September was the $512.8 million One SoHo Square loan. The loan is secured by a 786,000-square-foot urban office property in New York, NY. It is split into pieces in four deals: $316.0 million in SOHO 2021-SOHO, $75.0 million in BANK 2021-BN37, $70.0 million in BBCMS 2021-C11, and $51.8 million in MSC 2021-L7. It transferred to special servicing on August 28, 2026, for imminent balloon/maturity default.

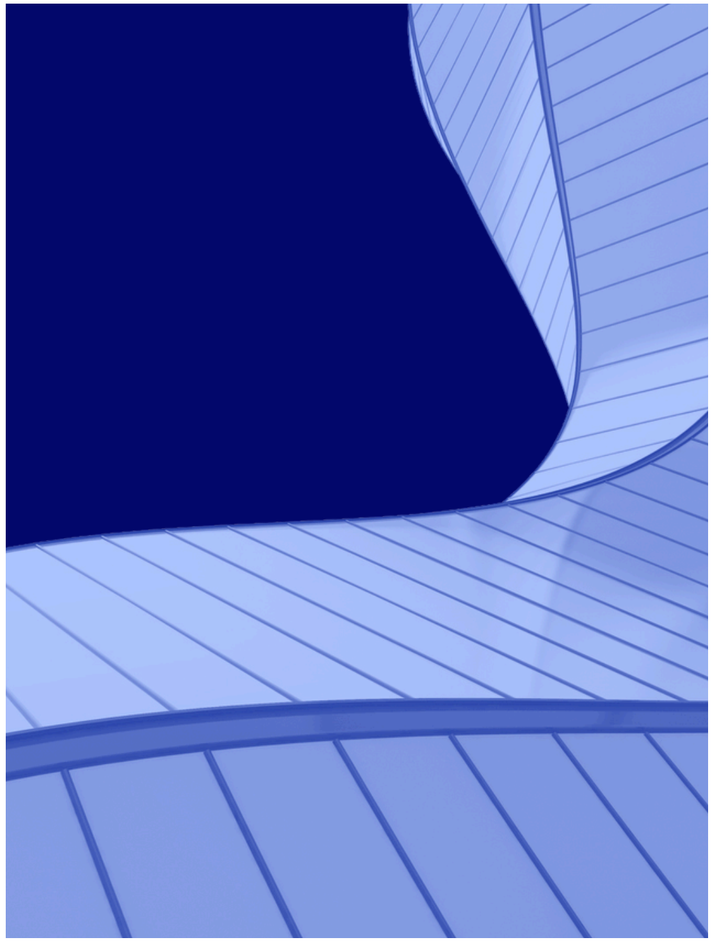
The loan carries a 2.72% fixed-rate coupon and matures on August 6, 2028. The loan is current on payments. For the most recent reporting period, it reported a debt service coverage ratio (DSCR) based on a net cash flow (NCF) basis of 1.76x and occupancy of 86%.

The most recent appraisal, in June 2021, valued the property at $1.35 billion, for a loan-to-value (LTV) ratio of 58.1%.

The second-largest transfer was the $436.9 million Starwood Regional Mall Portfolio. The loan is secured by a portfolio of five regional malls totaling 3.7 million square feet. It is held in GSMS 2018-SRP5. It transferred to special servicing on September 1, 2026, for imminent monetary default. The loan carries a 5.79% floating-rate coupon, matured June 9, 2021, and has a fully extended maturity of August 25, 2023. It is reporting as performing, with a matured balloon.

For the most recent reporting period, it reported a DSCR (NCF) of 0.84x and occupancy of 86%. The most recent appraisal, in November 2021, valued the property at $561.6 million, for an LTV of 77.8%.

Beyond the two largest, notable transfers in September included 51 W 52nd Street (Office, New York, NY, $420.0 million), Apple Sunnyvale (Office, Sunnyvale, CA, $209.0 million), 8 Times Square & 1460 Broadway (Mixed-Use, New York, NY, $100.0 million), Hyatt Regency Jersey City (Lodging, Jersey City, NJ, $100.0 million), Square One Mall (Retail, Saugus, MA, $76.0 million) and Wolfchase Galleria (Retail, Memphis, TN, $75.2 million). 79% of the balance in these loans transferred for imminent balloon/maturity default.



LARGEST LOANS EXITING SPECIAL SERVICING

The largest loan to leave special servicing in September was the $425.0 million JACX. It returned to the master servicer in August 2026 after five months in special servicing.

The loan was extended through September 2029 with two extension options through September 2030 and March 2031.

The loan carries a 5.06% floating-rate coupon and had an original fully extended maturity of September 2026. The loan is secured by a 1.1 million square foot urban office property in Long Island City, NY.

The second-largest exit was the $249.9 million Providence Place Mall after the loan was liquidated in late August 2026. The loan transferred to special servicing in April 2024 following a modification in August 2021.

The loan is secured by a 980,000 square foot superregional mall property built in 1999 in Providence, RI. It is split into six pieces: $249.9 million in DBUBS 2011-LC3A. The property has inline occupancy, including temporary tenants,

of 88.5% as of May 2026. Traffic was up 6.4% compared with May 2025, according to special servicer commentary.

Other notable exits included Clackamas Town Center (Retail, Happy Valley, OR, $186.8 million), Penn Square Mall (Retail, Oklahoma City, OK, $163.5 million), and 425 Eye Street (Office, Washington, DC, $102.2 million).

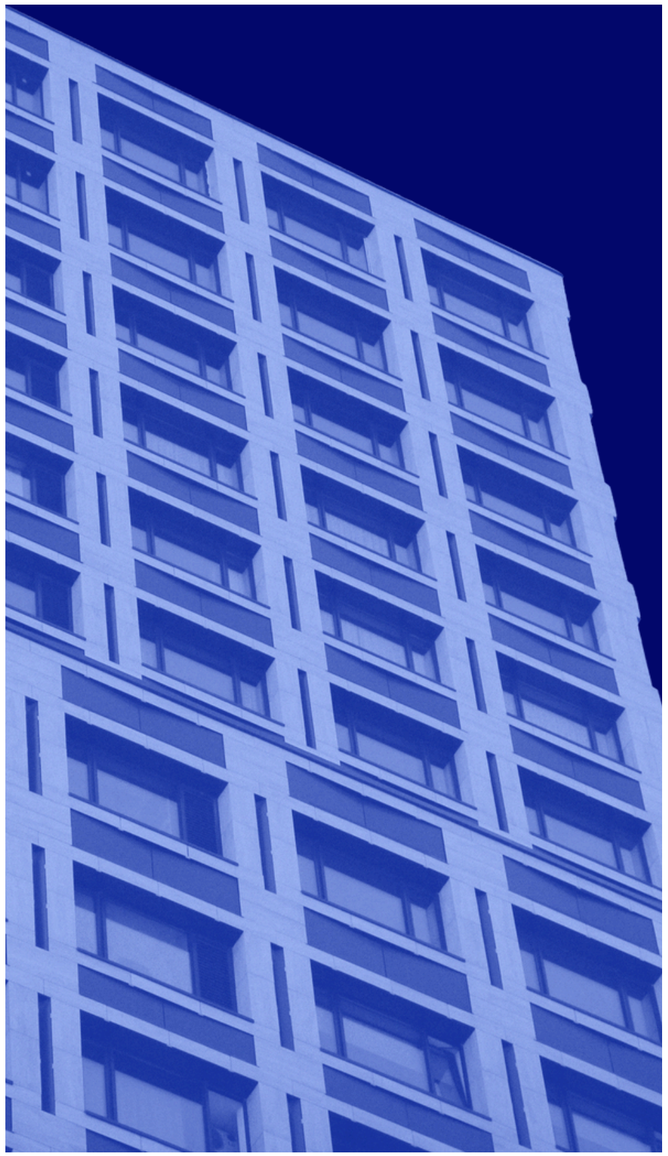
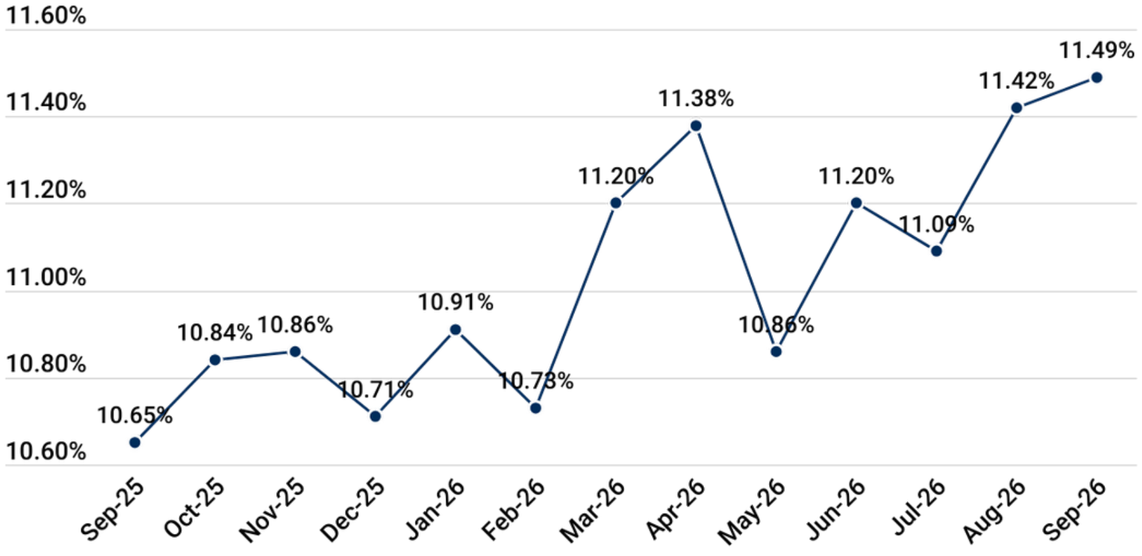
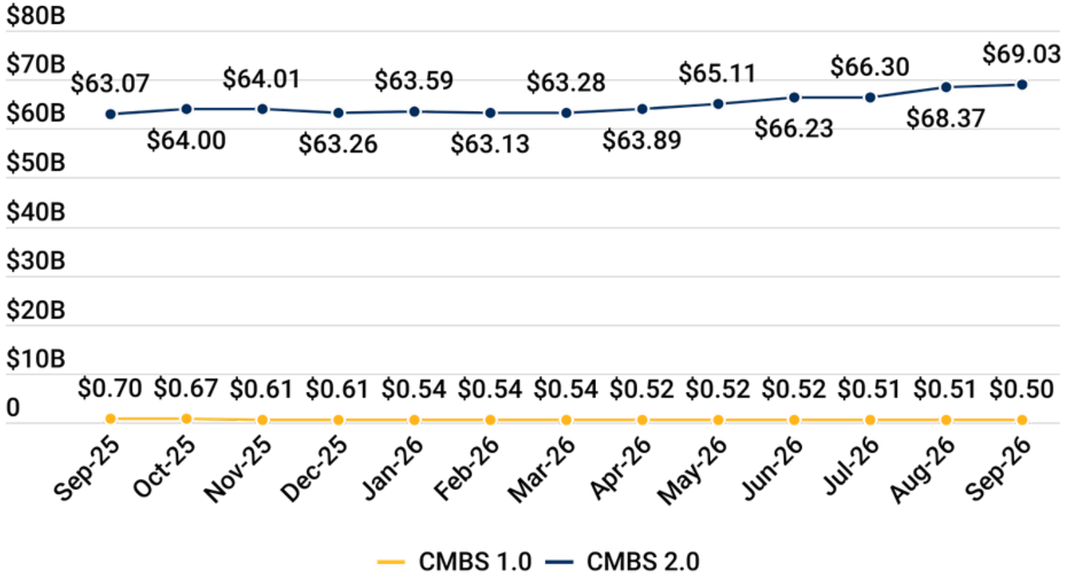


CHART 1: CMBS SPECIAL SERVICING RATE OVER THE LAST 12 MONTHS



Source: Trepp

CHART 2: BALANCE OF LOANS IN SPECIAL SERVICING OVER THE LAST 12 MONTHS



Source: Trepp

TABLE 2: SPECIAL SERVICING RATE BY PROPERTY TYPE CMBS 2.0+ (%)

PROP TYPE	Sep-26	Aug-26	Jul-26	3 MO.	6 MO.	12 MO.
Overall	**11.42**	**11.35**	**11.02**	**11.13**	**10.93**	**10.55**
Industrial	1.23	1.27	1.34	1.37	1.03	0.65
Lodging	8.95	8.74	8.63	8.89	9.58	9.84
Multifamily	8.54	8.37	8.40	8.23	8.75	8.20
Office	16.80	16.84	16.51	17.04	16.66	16.81
Mixed-Use	13.17	13.47	11.93	11.90	12.19	11.95
Retail	13.57	13.33	13.01	12.68	12.71	11.64

Source: Trepp

TABLE 3: SPECIAL SERVICING RATE BY PROPERTY TYPE CMBS 1.0 (%)

PROP TYPE	Sep-26	Aug-26	Jul-26	3 MO.	6 MO.	12 MO.
Overall	**61.89**	**61.96**	**61.64**	**62.10**	**61.48**	**66.53**
Industrial	0.00	0.00	0.00	0.00	0.00	0.00
Lodging	0.00	0.00	0.00	0.00	0.00	94.33
Multifamily	0.00	0.00	0.00	0.00	3.12	2.69
Office	38.57	39.27	39.12	41.17	40.74	46.75
Retail	93.82	93.69	93.56	93.38	92.44	91.73

Source: Trepp

The CMBS 2.0+ Numbers

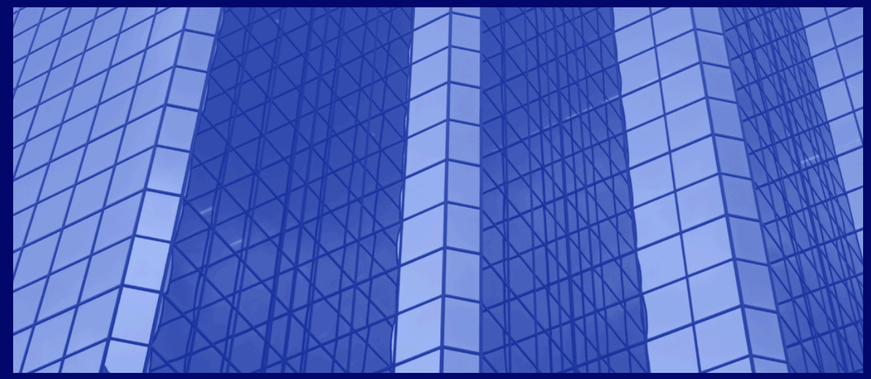
- The overall US CMBS 2.0+ special servicing rate is 11.42%.
- One year ago, the US CMBS 2.0+ special servicing rate was 10.55%.
- Six months ago, the US CMBS 2.0+ special servicing rate was 10.93%.

The CMBS 1.0 Numbers

- The overall US CMBS 1.0 special servicing rate is 61.89%.
- One year ago, the US CMBS 1.0 special servicing rate was 66.53%.
- Six months ago, the US CMBS 1.0 special servicing rate was 61.48%.

WHAT IS THE DIFFERENCE BETWEEN CMBS 1.0 AND CMBS 2.0+?

CMBS 1.0 refers to CMBS issued prior to the 2008 financial crisis, characterized by higher loan-to-value ratios and lower DSCRs. CMBS 2.0+ refers to the second generation of CMBS issued after the financial crisis, incorporating reforms to restore investor confidence. These include enhanced underwriting standards, increased disclosure requirements, improved loan servicing practices, and stronger risk retention rules in compliance with Dodd-Frank regulations.



About Trepp

Trepp, founded in 1979, is the leading provider of data, insights, and technology solutions to the structured finance, commercial real estate, and banking markets. Trepp provides primary and secondary market participants with the solutions and analytics they need to increase operational efficiencies, information transparency, and investment performance. From its offices in New York, Dallas, and London, Trepp serves its clients with products and services to support trading, research, risk management, surveillance, and portfolio management. Trepp subsidiary, Commercial Real Estate Direct, is a daily news source covering the commercial real estate capital markets. Trepp is wholly owned by DMGT. *{The information provided is based on information generally available to the public from sources believed to be reliable.}*

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